

Tech Mahindra Ltd (TECHM)

Sector: Information Technology | Financial Intelligence tearsheet | Latest FY24 (2024-03)

1. Core Performance Ratios (Latest Year)

Metric	Value	Benchmark / Status
Return on Equity (ROE)	8.99%	ROE > 15% is healthy
Return on Capital (ROCE)	9.89%	Relative sector-adjusted benchmark
Net Profit Margin (NPM)	4.61%	Core net earnings efficiency
Debt to Equity (D/E)	0.10	Financial leverage ratio
Interest Coverage Ratio (ICR)	13.86	Debt service capacity cushion
Asset Turnover	1.21	Asset utilization intensity

2. Time-Series Income Statement (P&L; Trend)

Year	Revenue / Sales (Cr)	Net Profit (Cr)	EPS (■)
2024-03	■51,996.0	■2,397.0	■24.00
2023-03	■53,290.0	■4,857.0	■50.00
2022-03	■44,646.0	■5,630.0	■57.00
2021-03	■37,855.0	■4,353.0	■46.00
2020-03	■36,868.0	■3,897.0	■42.00
2019-03	■34,742.0	■4,289.0	■44.00

3. Balance Sheet & Asset Structure

Year	Fixed Assets (Cr)	Current Assets (Cr)	Borrowings (Cr)
2024-09	■13,818.0	■26,686.0	■2,035.0
2024-03	■13,903.0	■25,875.0	■2,537.0
2023-03	■14,932.0	■27,388.0	■2,740.0
2022-03	■14,784.0	■24,583.0	■2,618.0
2021-03	■9,018.0	■20,228.0	■2,901.0
2020-03	■8,872.0	■22,548.0	■3,670.0

4. Cash Flow & Capital Allocation Pattern

Year	CFO (Ops)	CFI (Invest)	CFF (Finance)
2024-03	■6,376.0	■-1,318.0	■-4,767.0
2023-03	■5,572.0	■-226.0	■-5,078.0
2022-03	■5,285.0	■480.0	■-4,667.0
2021-03	■8,094.0	■-5,433.0	■-2,987.0
2020-03	■4,358.0	■1,081.0	■-4,466.0
2019-03	■4,432.0	■-2,104.0	■-2,251.0

5. Qualitative Analysis (Strengths & Risks)

■ Strengths (Pros)	■ Risk Factors (Cons)
• Conservative leverage with a healthy Debt-to-Equity of 0.10. • Strong cash generation with a latest Free Cash Flow of ■5,058.0 Cr. • High-quality earnings backed by a strong cash-flow-to-profit conversion (CFO/PAT ratio of 2.66). • Excellent debt servicing capacity with an Interest Coverage Ratio of 13.9x.	• Low return on capital employed (ROCE) of 9.9% shows inefficient capital allocation. • Sluggish earnings performance with a 5-year PAT CAGR of -11.0%. • Unsustainably high dividend payout ratio of 150.0%, leaving little retained earnings for growth.